

Main Players in Hedge Funds

- Educational Presentation #10 – Hedge Funds
- 14.03.2025
- Property of the ESCP Alternative Investments Society
- Sources: Bloomberg, Aurum, FT, Hedgeweek, Hedgefollow, WSJ, Company Websites

Section I: Introduction

L/S and Macro

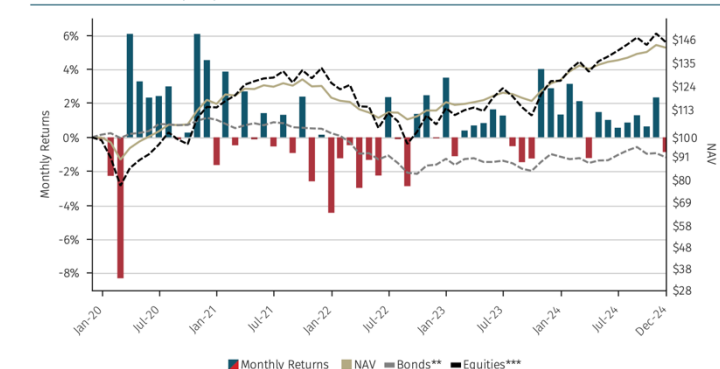
L/S Equity:

- Long/short equity strategy profits from mispriced stocks by taking long positions in undervalued stocks and short positions in overvalued stocks
- Gains are made from rising stock prices (long) and falling stock prices (short), allowing flexibility in bull and bear markets
- Success is measured by alpha (excess returns) and beta (market correlation) to assess risk-adjusted performance

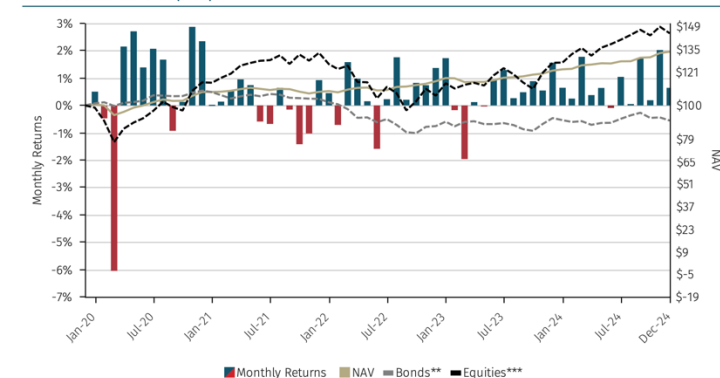
Global Macro:

- Global macro strategy leverages macroeconomic trends to make investment decisions across currencies, commodities, bonds, and equities
- Investment decisions are based on economic indicators (e.g., GDP, inflation, interest rates) using complex econometric models to forecast market shifts
- The strategy profits from global political/economic events, offering diversification and volatility management by capitalizing on price swings from events like geopolitical tensions and central bank policies

NET MONTHLY RETURN (5 YR)



NET MONTHLY RETURN (5 YR)



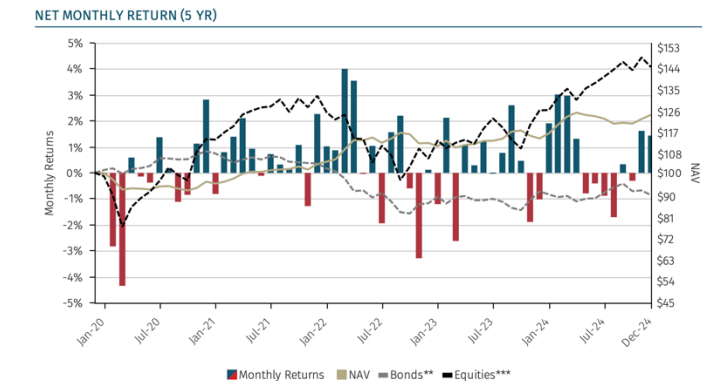
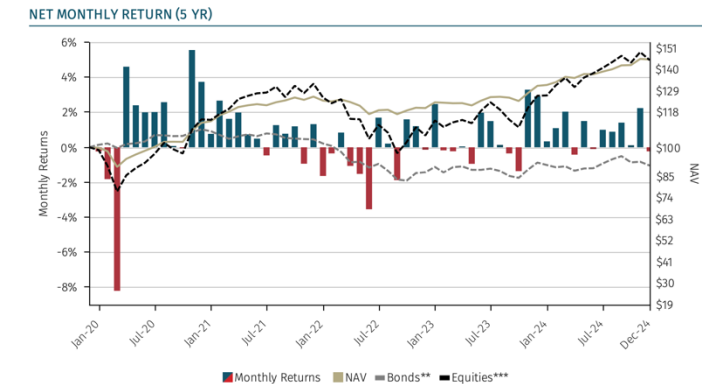
Event-Driven and Quant

Event-Driven:

- Profits from price movements linked to corporate events like mergers, acquisitions, and restructurings
- Includes merger arbitrage (betting on deal spreads), distressed securities (investing in struggling firms), and activist investing
- Success depends on deal completion, market conditions, and company recoveries, with returns driven by outcomes rather than market movements

Quantitative:

- Quant funds use mathematical models and statistical analysis to identify market inefficiencies across asset classes
- Trades are executed using automated algorithms, optimizing timing and minimizing human bias
- Strategies rely on risk management models, with success measured by alpha, Sharpe ratio (risk-adjusted returns), and maximum drawdown



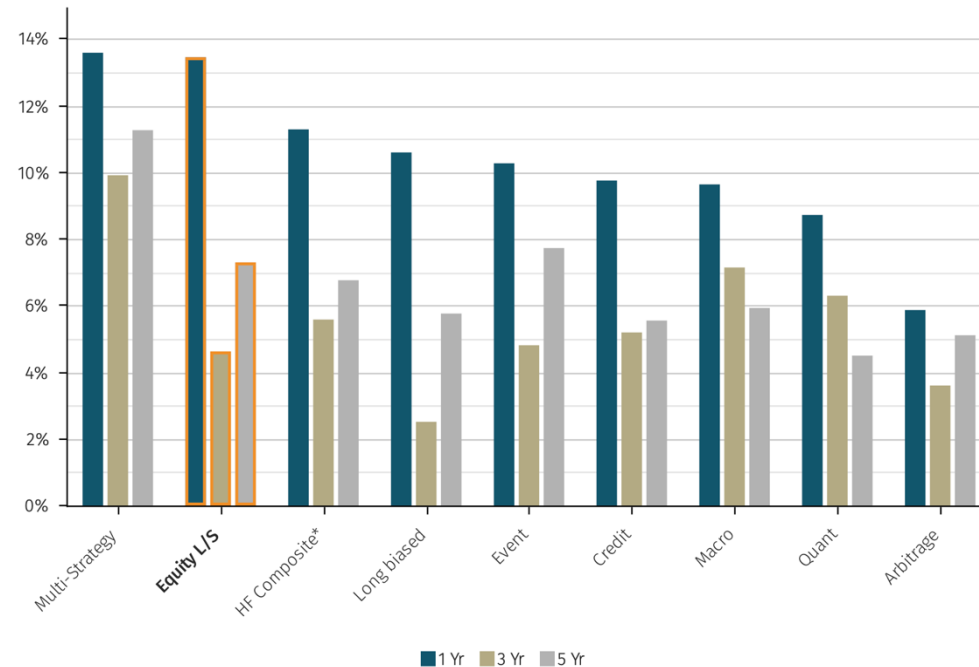
Compared Performance



Compared Performance:

- L/S Equity had the highest 1-year returns but weaker 3- and 5-year performance with higher short-term volatility
- Macro and Event-Driven funds delivered steady returns across all periods, while Quant slightly lagged over longer timeframes
- Multi-Strategy has led since 2008, gaining AUM and delivering stable returns through diversification

MASTER STRATEGY NET ANNUALISED RETURNS



Section II: Multi Strategy / L/S Equity

Citadel

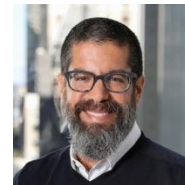


- **Founded:** 1990
- **Founder:** Kenneth C. Griffin
- **HQ:** Miami, US
- **Headcount:** 2 800
- **AUM:** \$62.3bn
- **Returns:** 18% in 2024 (Equity Fund)
- **Strategy:** Multi Strategy including L/S



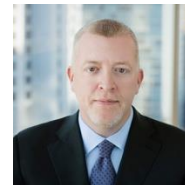
Kenneth C. Griffin (Founder & CEO)

- BA from Harvard in Economics
- Founded Citadel in 1990



Pablo Salame (Co-CIO)

- BS from Brown in Applied Mathematics
- At Citadel since 2019



Gerald A. Beeson (COO)

- MBA from University of Chicago
- At Citadel since 1993

Recent trade / further detail:

- In early 2025, Citadel has taken a £305m short position in GSK despite its £2bn buyback plan
- Citadel has earned approx. \$8.1bn in 2023 for its investors, bringing their total profit to \$74bn, the highest ever in the Hedge Fund industry
- Citadel's market maker Citadel Securities earned a record trading revenue of \$9.7bn in 2024

- **Founded:** 2014 (previously S.A.C.)
- **Founder:** Steven Cohen
- **HQ:** Stamford, US
- **Headcount:** 2 800
- **AUM:** \$36.9bn
- **Returns:** 19% in 2024
- **Strategy:** Primary L/S



Steve Cohen (Founder & CEO)

- BS from Wharton in Economics
- Founded Point72 in 2014



Andrew B. Cohen (CIO)

- MBA from Wharton
- At Point72 since 2014



Gavin O'Connor (COO)

- MBA from NYU
- At Point72 since 2018

Recent trade / further detail:

- In early 2025, Point72 raised its stake in Sphere Entertainment to 7.3%, showing confidence despite MSG Networks' \$829m debt talks
- Point72's AI-focused fund gained 14% in three months, nearing \$1.5bn in assets and set to close to new investors by April 2025
- Plans to return up to \$5bn to investors in 2025 after a 19% gain, while shifting some costs to clients

Millennium

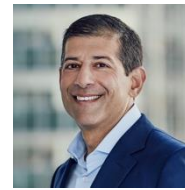
millennium

- **Founded:** 1989
- **Founder:** Israel Englander
- **HQ:** New York City, US
- **Headcount:** 6 100
- **AUM:** \$74.7bn
- **Returns:** 15% in 2024
- **Strategy:** Multi Strategy including L/S



Israel Englander (Founder & CEO)

- BS from NYU in Finance
- Founded Millennium in 1989



Ajay Nagpal (President & COO)

- BA from Brown
- At Millennium since 2013



Justin Gmelich (Co-CIO)

- MBA from Columbia
- At Millennium since 2023

Recent trade / further detail:

- In late 2024 BlackRock was in early talks to acquire a minority stake in Millennium, signalling its push into alternative investments
- In 2024 Millennium invested \$3.3bn in two new trading teams led by two exceptional traders as part of its expansion strategy

Tiger Global Management

TIGERGLOBAL

- **Founded:** 2001
- **Founder:** Chase Coleman
- **HQ:** New York City, US
- **Headcount:** 266
- **AUM:** \$58.5bn
- **Returns:** 28.5% in 2023
- **Strategy:** L/S



Eric Lane (President & COO)

- BS from Wharton in Engineering
- At Tiger Global since 2021



Robert Fallon (Head of Trading)

- MBA from Wharton
- At Tiger Global since 2007



Don Anderson (CIO)

- MBA from Bentley University
- At Tiger Global since 2022

Recent trade / further detail:

- Tiger Global rebounded with a 28.5% gain in 2023, following losses of 56% and 7% in 2022 and 2021 respectively
- In 2023, Tiger Global's VC fund posted an 18% paper loss as it slashed valuations for portfolio companies, including DuckDuckGo (-72%) and OpenSea (-94%)

Viking



- **Founded:** 1999
- **Founder:** Andreas Halvorsen
- **HQ:** Greenwich, US
- **Headcount:** 275
- **AUM:** \$51bn
- **Returns:** 21% in 2023
- **Strategy:** L/S



Andreas Halvorsen (Founder & CEO)

- MBA from Stanford
- Founded Viking in 1999



Rose Shabet (COO)

- MBA from Wharton
- At Viking since 2008



Justin Walsh (CIO)

- MBA from Harvard Business School
- At Viking since 2010

Recent trade / further detail:

- Betting on its recovery, Viking acquired a \$526m stake in Boeing in Q4 2024, while also doubling its JPMorgan position to \$1.8bn
- In 2023, Viking has reopened its flagship L/S fund to new capital for the first time since 2011

Section III: Macro Funds

Bridgewater Associates



- **Founded:** 1975
- **Founder:** Ray Dalio
- **HQ:** Westport, US
- **Headcount:** 1 500
- **AUM:** \$154bn
- **Returns:** 11% in 2024 (Pure Alpha fund)
- **Strategy:** Multi Strategy including Global Macro



Ray Dalio (Founder)

- MBA from Harvard Business School
- Founded Bridgewater in 1975



Nir Bar Dea (CEO)

- MBA from Wharton
- At Bridgewater since 2015



Bob Prince (Co-CIO)

- MBA from University of Tulsa
- At Bridgewater since 1986

Recent trade / further detail:

- Bridgewater increased its Tesla stake by \$62m in Q4 2024 while reducing exposure to the Magnificent Seven tech stocks
- Bridgewater's Pure Alpha fund gained 8.2% in January 2025, navigating AI stock sell-offs and US tariff uncertainties
- Cut workforce by 7% in January 2025

Brevan Howard

BREVAN HOWARD

- **Founded:** 2002
- **Founder:** Alan Howard
- **HQ:** Jersey, US
- **Headcount:** 1 000
- **AUM:** \$35bn
- **Returns:** 9% 3-year annualized
- **Strategy:** Global Macro



Alan Howard (Co-Founder)

- MS from Imperial in Engineering
- Co-founded Brevan Howard in 2002



Aron Landy (CEO)

- PhD from Cambridge in Engineering
- At Brevan Howard since 2003



Jonathan Hughes (CFO)

- MA from Oxford in Management and Economics
- At Brevan Howard since 2007

Recent trade / further detail:

- Cut 7% of trading staff after underwhelming performance in 2024, focusing on cost-cutting and operational efficiency
- Brevan Howard's Master Fund gained 5.12% in September 2024, marking its best monthly performance of 2024

Tudor Investment Corporation

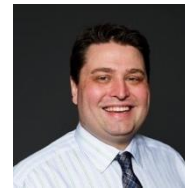


- **Founded:** 1980
- **Founder:** Paul Tudor Jones II.
- **HQ:** Stamford, US
- **Headcount:** 355
- **AUM:** \$63.6bn
- **Returns:** 0.1% 3-year annualized
- **Strategy:** Global Macro



Paul Tudor Jones II. (Founder & CIO)

- BA from University of Virginia
- Founded Tudor in 1980



Clayton Otto (COO)

- BS from Wharton in Finance
- At Tudor since 2000



Lorenzo Giorganni (Global Head of Research)

- PhD from UPenn in Economics
- At Tudor since 2013

Recent trade / further detail:

- In Q4 2024, Tudor increased its holdings in the iShares Bitcoin Trust by 81%, adding approximately 3.6 million shares to its portfolio
- In Q3 2024, the firm expanded its position in NVIDIA by 400%, acquiring an additional 1,095,156 shares

Section IV: Event-Driven Funds

Elliott Investment Management

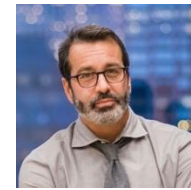
ELLIOTT

- **Founded:** 1977
- **Founder:** Paul Singer
- **HQ:** Florida, US
- **Headcount:** 593
- **AUM:** \$72.7bn
- **Returns:** 16% 3-year annualized
- **Strategy:** Event-Driven / Activist



Paul Singer (Founder, President & Co-CEO)

- JD from Harvard Law School
- Founded Elliott in 1977



Jonathan Pollock (Co-CEO)

- BA from Curry College in Management
- At Elliott since 1989



Zion Shohet (COO)

- JD from Harvard Law School
- At Elliott since 2015

Recent trade / further detail:

- Elliott took a €670m short position in TotalEnergies in March 2025, following its push for BP divestments
- Holding a 5% stake in BP, Elliott is pushing for asset divestments and a leaner cost structure, sparking a battle with 48 institutional investors
- Elliott pressured Honeywell to break up their business, leading to the company's decision in February 2025 to split its aerospace unit

Pershing Square

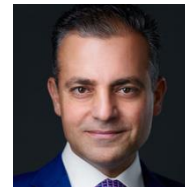


- **Founded:** 2004
- **Founder:** Bill Ackman
- **HQ:** New York City, US
- **Headcount:** 30
- **AUM:** \$19bn
- **Returns:** 4% 3-year annualized
- **Strategy:** Event-Driven / Activist



Bill Ackman (Founder & CEO)

- MBA from Harvard Business School
- Founded Pershing Square in 2004



Ben Hakim (President)

- BS from Cornell
- At Pershing Square since 2012



Michael Gonnella (CFO)

- BS from Seton Hall University
- At Pershing Square since 2005

Recent trade / further detail:

- Pershing Square acquired a \$2.3bn stake in Uber in February 2025, citing strong management and growth potential in autonomous vehicles
- In late 2024, Pershing Square built a \$2.6bn stake in Brookfield, signalling confidence in the company's role in global infrastructure
- Sold 2.7% of its stake in UMG in 2025, raising \$1.4 billion. UMG still remains the largest position in their portfolio with 17%



Third Point

- **Founded:** 1995
- **Founder:** Daniel S. Loeb
- **HQ:** New York City, US
- **Headcount:** 110
- **AUM:** \$18bn
- **Returns:** 24% in 2024
- **Strategy:** Event-Driven



Daniel S. Loeb (Founder & CEO)

- BA from Columbia in Economics
- Founded Third Point in 1995



Josh Targoff (President)

- JD from Yale Law School
- At Third Point since 2008



Ian Wallace (Co-Head of Credit)

- BA from University of Washington in Management
- At Third Point since 2009

Recent trade / further detail:

- Third Point's flagship Offshore Fund gained 9.1% in Q4 2024, bringing its full-year return to 24.2%, driven by strong equities and credit
- In early 2025, Daniel Loeb urged SoHo House's board to open its sale process to outside bidders, criticizing the existing offer as undervalued
- Third Point agreed to acquire credit fund manager AS Birch Grove, to expand its credit platform, particularly in CLOs and private credit

Section V: Quant Funds

Renaissance Technologies



- **Founded:** 1982
- **Founder:** Jim Simons
- **HQ:** Greater New York, US
- **Headcount:** 300
- **AUM:** \$89bn
- **Returns:** 30% in 2024 (Medallion Fund)
- **Strategy:** Quant



Jim Simons (Founder)

- PhD from Berkeley in Mathematics
- Founded Renaissance in 1982



Peter Brown (Co-CEO)

- BA from Harvard
- At Renaissance since 1993



Mark Silber (CFO)

- JD from NYU
- At Renaissance since 1983

Recent trade / further detail:

- Renaissance's Medallion Fund gained 30% in 2024, while its institutional funds returned 22.7% and 15.6%
- Renaissance added over 1M GameStop shares in Q1 2024 and increased its AMC stake by 78%, benefiting from the meme stock surge
- The Medallion Fund posted a stunning 76% return in 2020, averaging 30% net since its creation

D.E. Shaw

- **Founded:** 1988
- **Founder:** David E. Shaw
- **HQ:** New York City, US
- **Headcount:** 2 500
- **AUM:** \$65bn
- **Returns:** 36% in 2024 (Oculus Fund)
- **Strategy:** Multi Strategy including Quant



David E. Shaw (Founder)

- PhD from Stanford
- Founded D.E. Shaw in 1988



Eddie Fishman (COO)

- BS from Princeton
- At D.E. Shaw since 1995



Anne Dinning (Chair of the Executive Committee)

- PhD from NYU in Computer Science
- At D.E. Shaw since 1990

Recent trade / further detail:

- D.E. Shaw raised \$1bn for its Alkali VI fund, focused on corporate and structured debt, bringing total Alkali capital to \$3.9bn
- In late 2024, D.E. Shaw took a €102m short position on Bayer following a sharp drop in the company's stock after weak earnings and CEO warnings

Two Sigma Investments



- **Founded:** 2001
- **Founder:** John Overdeck, David Siegel, Mark Pickard
- **HQ:** New York City, US
- **Headcount:** 2 000
- **AUM:** \$60bn
- **Returns:** 10% in 2024 (Spectrum Fund)
- **Strategy:** Multi Strategy including Quant



David Siegel (Co-Founder)

- PhD from MIT in Computer Science
- Co-founded Two Sigma in 2001



Scott Hoffman (Co-CEO)

- JD from NYU
- At Two Sigma since 2023



Carter Lyons (Co-CEO)

- BS from Lehigh University
- At Two Sigma since 2011

Recent trade / further detail:

- Two Sigma is launching a real estate fund to raise external capital, focusing on housing, industrial properties, and select commercial assets
- Two Sigma is negotiating a \$100m settlement with the SEC over trading misconduct related to unauthorized changes in trading models by a former employee in 2024



ESCP Alternative
Investment Society